# WAVERLEY GATEWAY GUIDE

*Connecting International Capital*

# DENMARK

Europe

*Information current as of November 2026*

Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

## WHERE AND HOW TO ENTER

### KEY INVESTMENT LOCATIONS

| Location / Region | Strategic Importance | Priority Sectors |
|---|---|---|
| Copenhagen and Greater Copenhagen | Capital and main business centre; seat of government, Danmarks Nationalbank and most international headquarters, with a deep pool of life-science and tech talent | Life sciences, tech, finance, shipping services, design |
| Kalundborg (West Zealand) | Home to Novo Nordisk's largest production site, where new factories worth DKK 65 billion are being built | Pharmaceutical manufacturing, biotech, industrial symbiosis |
| Aarhus and East Jutland | Denmark's second city, with a strong university, tech and food-industry base | Software, food technology, engineering, wind services |
| West Jutland North Sea coast (Hvide Sande) | Gateway to the North Sea, where the 1 GW Nordsøen Midt offshore wind farm will be built about 20 km off Hvide Sande | Offshore wind, port logistics, energy services |
| North Zealand and the Kattegat | Location of the 800 MW Hesselø offshore wind farm, about 30 km off the coast | Offshore wind, grid connection, marine services |
| Lolland and the Fehmarn Belt | Danish end of the 18 km Fehmarnbelt road and rail tunnel to Germany, the world's longest immersed tunnel | Construction, logistics, manufacturing |
| Greenland (self-governing part of the Kingdom of Denmark) | Strategic Arctic territory attracting EU and Danish investment, including a €200 million EU package signed in September 2026 | Critical raw materials, hydropower, fisheries, infrastructure |

### INVESTOR ENTRY ROUTES

- Invest in Denmark, part of the Ministry of Foreign Affairs, provides free and confidential advice on location, incentives and set-up; it supported 61 investment projects in 2025
- A 22% corporate income tax, an enhanced 114% deduction for qualifying R&D spending in 2026 and 108% depreciation for qualifying green equipment in 2025–2026
- Simple company formation: the minimum capital for a private limited company (ApS) was halved to DKK 20,000 in 2025, and a fast-track scheme for IP-based firms was introduced
- Eleven new designated industrial parks were added in 2025, offering ready sites for manufacturing and logistics
- Krone pegged to the euro within ERM II at a narrow ±2.25% band, with no foreign-exchange controls and free capital movement under EU rules

- EU single-market and Schengen membership, giving tariff-free access to EU markets and EU free trade agreements
- State-backed offshore wind tenders with 20-year two-way contracts for difference, and a DKK 50 billion defence Acceleration Fund opening procurement opportunities

### MARKET-ENTRY OBSERVATION

Denmark in November 2026 is one of Europe's strongest economies, combining strong public finances, a stable currency peg and world-leading companies in pharmaceuticals, shipping and green energy. The European Commission estimates GDP growth of 2.9% in 2025, a general government surplus of 2.9% of GDP and public debt of just 27.9% of GDP. Revised official data show GDP rising 0.9% quarter-on-quarter and 5.7% year-on-year in the second quarter of 2026, helped by pharmaceuticals and an 8.6% rise in construction investment, while inflation was a moderate 2.2% in September 2026. Danmarks Nationalbank raised its current-account rate to 2.10% in September 2026, mirroring the European Central Bank. Invest in Denmark supported 61 foreign investment projects in 2025, up from 56 in 2024, led by the United States, Germany and the United Kingdom, across cleantech, life sciences and tech.

Denmark's main structural challenge is the concentration of growth in a few large companies, above all Novo Nordisk, together with geopolitical pressure in the Arctic. Novo announced 5,000 job cuts in Denmark in 2025 as weight-loss drug competition increased, and the US claim to Greenland led to tariff threats in January 2026 before a NATO Arctic security agreement eased tensions. The response is robust: Novo is still building DKK 65 billion of new capacity at Kalundborg, the Commission expects domestic demand to become the main driver of growth, and defence spending above 3% of GDP, offshore wind tenders and Greenland investment are broadening the economy. For investors, this creates opportunities in life sciences supply chains, defence and dual-use technology, energy infrastructure and Arctic development.

## INVESTOR RISK & MARKET ACCESS

### KEY ENTRY BARRIERS

| Issue | Potential Impact | Possible Mitigation |
|---|---|---|
| Concentration in pharmaceuticals | Novo Nordisk's slowdown and 5,000 Danish job cuts show how one sector can sway growth and exports | Diversify customers across the life-science cluster; Novo's DKK 65 billion Kalundborg build and released skilled staff create supplier and hiring opportunities |
| US–Greenland tensions and trade policy | US pressure over Greenland led to tariff threats in January 2026, later withdrawn after a NATO Arctic deal | Model tariff scenarios for US-facing exports; EU membership and NATO ties anchor Denmark's position, and EU and Danish Greenland funding opens new projects |
| High labour and operating costs | Danish wages and the 25% VAT rate are among the highest in Europe | High productivity, flexible hiring rules and digital public services offset costs; focus on high-value activities |
| Minority government | The Frederiksen III government formed in June 2026 holds no majority on its own and relies on support parties | Danish politics is consensus-based with broad agreements on energy and defence; track budget negotiations for tax changes |
| Offshore wind delivery risk | An earlier tender round failed to attract bids, and the third site, Nordsøen Syd, will not be tendered until autumn 2028 | The redesigned CfD model drew bids for both 2026 sites; suppliers should plan for project timelines to 2032 |
| Infrastructure delays | Rail services through the Fehmarnbelt tunnel are delayed because the German rail link will miss its 2029 target | Road tunnels open first; plan logistics around phased opening |
| Baltic and Arctic security | Russia's war in Ukraine and Arctic competition raise security considerations for shipping and critical infrastructure | Denmark is an EU and NATO member spending over 3% of GDP on defence; include standard insurance and cyber-security planning |

### INVESTOR RISK NOTE

Denmark's risk profile is among the lowest in Europe: a budget surplus of 2.9% of GDP in 2025, public debt of 27.9% of GDP, inflation of 2.2% and a fixed exchange-rate policy maintained since 1982, now against the euro within a narrow ERM II band. The March 2026 election produced no majority for either bloc, and Mette Frederiksen formed a centre-left minority government in June 2026, but Danish policy-making relies on broad cross-party agreements, which supports continuity. The main issues to monitor are the reliance on pharmaceuticals, US policy towards Greenland and possible US tariffs, and timelines for large infrastructure and offshore wind projects. EU sanctions on Russia apply in full, and dual-use and defence-related exports are subject to EU and Danish export controls, so investors in these sectors should take compliance advice. Overall, Denmark offers investors legal certainty, transparent institutions and a highly skilled workforce.

### MARKET ACCESS

As an EU member, Denmark gives investors tariff-free access to the EU single market and all EU free trade agreements, with WTO membership and the EU's common trade policy governing trade with third countries. Denmark does not use the euro, but its krone is pegged to the euro at 746.038 kroner per 100 euro with a ±2.25% band, removing most exchange-rate risk for euro-area trade. Denmark is part of the Schengen area and links Scandinavia with continental Europe through the Øresund Bridge to Sweden and, in future, the Fehmarnbelt tunnel to Germany. Its main partners are other EU states, the Nordic countries, the United Kingdom and the United States, and Danish companies are global leaders in shipping and logistics, with DSV's DKK 107 billion acquisition of DB Schenker in 2025 helping lift Danish direct investment abroad to a record DKK 244 billion.

## WHO SHOULD THE INVESTOR MEET?

### INSTITUTIONAL LANDSCAPE

| Actor | Why It Matters | Waverley Engagement Angle |
|---|---|---|
| Prime Minister's Office (Prime Minister Mette Frederiksen) | Leads the Social Democrat, Green Left, Moderate and Social Liberal minority government formed on 3 June 2026 | Primary reference point for Denmark's strategic direction, Arctic and defence policy |
| Invest in Denmark | National investment promotion agency within the Ministry of Foreign Affairs; supported 61 projects creating about 900 new jobs in 2025 | Standard first point of contact for market entry, location and incentives |
| Danmarks Nationalbank | Runs the fixed exchange-rate policy against the euro; its current-account rate has been 2.10% since 11 September 2026 | Relevant for currency, banking and financial-stability matters |
| Ministry of Finance (Minister Peter Hummelgaard) | Leads the budget, fiscal policy and public investment planning | Key counterpart on fiscal and public-finance matters |
| Ministry of Business and Competitiveness (Minister Martin Lidegaard) | Responsible for business regulation, company law and competitiveness policy | Relevant for regulatory, industrial-park and company matters |
| Ministry of Climate, Energy and Utilities (Minister Samira Nawa) and the Danish Energy Agency | Set energy policy and run offshore wind tenders, including the 2026 awards to Vattenfall | Essential counterpart for offshore wind, grid and energy-transition investment |
| Ministry of Defence (Minister Jeppe Bruus) | Oversees the DKK 50 billion Acceleration Fund and rapid defence build-up | Counterpart for defence, dual-use and security suppliers |

### CURRENT INTERNATIONAL BUSINESS CHANNELS

The Confederation of Danish Industry and the Danish Chamber of Commerce are the main business associations, with regular dialogue with government on regulation, tax and skills. The American Chamber of Commerce in Denmark and bilateral chambers for major European partners offer networking and market insight, while Invest in Denmark and regional business councils help with introductions and site selection. The Export and Investment Fund of Denmark (EIFO), the Nordic Investment Bank and the European Investment Bank provide finance for energy, infrastructure and innovation projects. Embassies of the United States, the United Kingdom and EU partners maintain commercial sections in Copenhagen that are a useful source of contacts.

### INVESTOR PROFILE BEST SUITED

Denmark suits investors seeking a stable, high-skill and transparent base in Northern Europe: life-science and biotech companies drawing on the Copenhagen and Kalundborg cluster and the 114% R&D deduction; offshore wind developers, suppliers and grid specialists targeting the CfD-backed tender programme; defence and dual-use technology firms responding to the DKK 50 billion Acceleration Fund; tech and software companies serving Nordic and EU markets; and infrastructure, mining and energy investors interested in Greenland's development. It is less suited to low-cost, labour-intensive manufacturing.

## FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Invest in Denmark early
Use the agency's free advice on location, talent, incentives and company set-up, and test fit with the newly designated industrial parks.

STEP 2: Structure for Danish tax incentives
Plan R&D activity to benefit from the 114% deduction and loss refund, and time green equipment purchases to use the 108% depreciation in 2026.

STEP 3: Position for energy and defence procurement
Register with the Danish Energy Agency and Ministry of Defence procurement channels, and seek partnerships with tender winners and prime contractors.

STEP 4: Build life-science supply-chain links
Map supplier opportunities around Novo Nordisk's Kalundborg expansion and the wider Copenhagen life-science cluster.

STEP 5: Plan for trade and Arctic developments
Model US tariff scenarios, follow Greenland policy and EU funding, and take export-control advice for dual-use products.